Netflix, Inc. (NFLX)

Watch list analysis, 2026-10-27 20:55 CET. Latest prices on 2026-10-27. Claude's notes updated 2026-10-27.

1. Summary

> **The leading streaming business, now at its lowest valuation in a decade after a run of soft guidance, while adjusted earnings still grow about 15% a year. View: a first look, not a full analysis yet. The proposed entry is 20x adjusted earnings, about $58.**

Price	Adjusted P/E, 12m	10-year median P/E	Entry at 20x
$62.58	**21.4x**	**61.3x**	**$58.40** 7% below today's price

- **Cheap:** about 22x adjusted earnings, against a 5-year median of about 34x.
- **Strong:** large and growing free cash flow (about $12bn guided for 2026) and modest debt.
- **Weak:** guidance has disappointed three quarters running, and the advertising business is behind plan.
- **Uncertain:** how much of the slowdown is lasting, and what the new content chief and job cuts change.

2. The numbers

Absolute values, latest 12 months

Value	NFLX
Price and value	
Share price	$62.58
Market value	$260.56bn
DCF fair value	–
Cash flow before growth (DCF base)	-$4.94bn
Debt and cash	
Total debt	$15.13bn
Net debt	$6.94bn
Short-term debt	$2.47bn
Long-term debt	$12.66bn
Cash	$8.22bn
Earnings	
Revenue (12m)	$49.73bn
EBITDA (12m)	$36.48bn
Net income (12m)	$14.77bn
EPS (12m)	$3.46
Forward EPS	$3.77
Cash flow	
Operating cash flow	$12.31bn
Capex	-$0.93bn
Free cash flow	$11.38bn

Absolute values by year (SEC filings; Yahoo where SEC has no figure)

Value	FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	Latest 12m
Share price	$12.38	$19.20	$26.77	$32.36	$54.07	$60.24	$29.49	$48.69	$89.13	$93.76	$62.58
Market value	$54.31bn	$85.77bn	$120.78bn	$146.18bn	$245.60bn	$274.33bn	$133.08bn	$218.85bn	$391.52bn	$407.28bn	$260.56bn
Cash flow before growth (DCF base)	-$1.41bn	-$1.67bn	-$2.43bn	-$2.50bn	$2.92bn	$0.79bn	$2.25bn	$7.47bn	$7.03bn	$9.82bn	-$4.94bn
Total debt	$3.36bn	$6.50bn	$10.36bn	$14.76bn	$16.31bn	$15.39bn	$14.35bn	$14.54bn	$15.58bn	$14.46bn	$15.13bn
Net debt	$1.90bn	$3.68bn	$6.57bn	$9.74bn	$8.10bn	$9.37bn	$9.21bn	$7.43bn	$7.78bn	$5.43bn	$6.94bn
Short-term debt	–	–	–	$0.00bn	$0.50bn	$0.70bn	$0.00bn	$0.40bn	$1.78bn	$1.00bn	$2.47bn
Long-term debt	$3.36bn	$6.50bn	$10.36bn	$14.76bn	$15.81bn	$14.69bn	$14.35bn	$14.14bn	$13.80bn	$13.46bn	$12.66bn
Cash	$1.47bn	$2.82bn	$3.79bn	$5.02bn	$8.21bn	$6.03bn	$5.15bn	$7.12bn	$7.80bn	$9.03bn	$8.22bn
Revenue (12m)	$8.83bn	$11.69bn	$15.79bn	$20.16bn	$25.00bn	$29.70bn	$31.62bn	$33.72bn	$39.00bn	$45.18bn	$49.73bn
EBITDA (12m)	$0.44bn	$0.91bn	$1.69bn	$2.71bn	$4.70bn	$6.40bn	$5.97bn	$7.31bn	$10.75bn	$13.66bn	$36.48bn
Net income (12m)	$0.19bn	$0.56bn	$1.21bn	$1.87bn	$2.76bn	$5.12bn	$4.49bn	$5.41bn	$8.71bn	$10.98bn	$14.77bn
EPS (12m)	$0.04	$0.12	$0.27	$0.41	$0.61	$1.12	$0.99	$1.20	$1.98	$2.53	$3.46
Operating cash flow	-$1.47bn	-$1.79bn	-$2.68bn	-$2.89bn	$2.43bn	$0.39bn	$2.03bn	$7.27bn	$7.36bn	$10.15bn	$12.31bn
Capex	-$0.11bn	-$0.17bn	-$0.17bn	-$0.25bn	-$0.50bn	-$0.52bn	-$0.41bn	-$0.35bn	-$0.44bn	-$0.69bn	-$0.93bn
Free cash flow	-$1.58bn	-$1.96bn	-$2.85bn	-$3.14bn	$1.93bn	-$0.13bn	$1.62bn	$6.93bn	$6.92bn	$9.46bn	$11.38bn

Ratios

Measure	NFLX	Rule or peer median
Net debt / EBITDA	0.2x	≤ 4.5x
EBITDA / interest	42.6x	≥ 4x
Cash / short-term debt	3.3x	≥ 1x
Cash / long-term debt	65.0%	≥ 5%
Revenue growth, average / median year	12.7% / 15.6%	> 0
EPS growth (GAAP), average / median year	37.8% / 27.6%	> 0
Net margin, 12 months	29.7%	
P/E, trailing GAAP	18.1x	peer median 21.2x
P/E, forward	16.6x	
EV / EBITDA	7.3x	peer median 11.5x
Free cash flow yield	4.4%	
Price vs standard DCF fair value	–	< 0 is cheap

Strict screen: passes

Must-have	NFLX
market value >= $1bn	Pass
reliable US-dollar data	Pass
profitable (net income and EBITDA > 0)	Pass
cash covers short-term debt	Pass
cash >= 5% of long-term debt	Pass
net debt / EBITDA <= 4.5x	Pass
EBITDA / interest >= 4x	Pass

Weighted screen against peers: NFLX ranks 3 of 5

Company	Total	Debt (50%)	Profit and cash (25%)	Cheapness (25%)
1. GOOGL	77.5	100.0	68.6	41.2
2. META	67.4	70.0	75.7	53.8
3. NFLX	**64.4**	**70.0**	**60.0**	**57.5**
4. CMCSA	48.2	25.0	52.9	90.0
5. DIS	42.6	35.0	42.9	57.5

Peers: DIS, WBD, CMCSA, SPOT, ROKU, GOOGL, META, PSKY. Growth required. Scores are percentiles within the peers that pass the base rules.

DCF

Standard DCF	
Cash flow before growth (OCF − D&A + after-tax interest)	-$4.94bn
WACC (CAPM)	11.8%
Growth forever	2.5%
Fair value per share	–
Price vs fair value	–
Growth forever implied by today's price	13.9%

3. Analysis

Adjusted P/E against its own 10-year history



Year	Average price	Adjusted EPS	P/E
Now (12m)	**$62.58**	**$2.92**	**21.4x**
2025	$109.71	$2.67	41.1x
2024	$67.15	$1.99	33.7x
2023	$39.02	$1.20	32.5x
2022	$28.46	$0.99	28.8x
2021	$55.82	$1.13	49.4x
2020	$44.68	$0.61	73.3x
2019	$32.89	$0.42	78.3x
2018	$31.93	$0.27	118.3x
2017	$16.54	$0.13	127.2x
2016	$10.20	$0.05	204.1x

Median of the yearly P/E: 61.3x over 10 years, 33.7x over the last 5.

Adjusted EPS: Yahoo's reported quarterly EPS (the basis analysts use, without amortization and one-offs), split-adjusted. Last four quarters, by report date: Jan 2026 $0.56, Apr 2026 $0.69, Jul 2026 $0.80, Oct 2026 $0.87. Full-year EPS is the trailing figure at the Q4 report; P/E uses the year's average price. The chart shows the daily price over the trailing adjusted EPS known that day. The 2025-10-21 quarter uses $0.73: excludes the Brazilian tax charge of about $619m (about $0.14 a share). The 2026-04-16 quarter uses $0.69: excludes the $2.8bn Warner Bros. Discovery termination fee (about $0.54 a share after an estimated 18% tax); Claude's estimate.

Entry price

At 20x trailing adjusted EPS of $2.92, the entry price is **$58.40**, 7% below today's price. The 10-year range of yearly P/E is 28.8x to 204.1x (years of collapsed earnings, such as 2020, show very high P/Es). Next report 2027-01-19 (EPS estimate $0.68); if met, the entry price becomes $60.80.

Target: Proposed 2026-10-27, not yet confirmed by Babak: the 10-year median (about 60x) reflects Netflix's early hyper-growth years, so the target is set against the last five years (about 34x median, 29x low), discounted for slower growth now.

Business

Netflix is the largest paid streaming service, earning almost all its revenue from subscriptions, with a growing advertising tier. Q3 2026 revenue was about $12.9bn, up about 12% a year, with EPS of $0.87 against a $0.82 estimate. The stock split 10-for-1 in November 2025. Its failed bid for Warner Bros. Discovery's studios and streaming business left it with a $2.8bn termination fee in Q1 2026, which the adjusted EPS here leaves out.

Risks

- **Slowing growth:** full-year 2026 revenue was trimmed to about $51.1bn, and Q4 EPS guidance of $0.67 is below the $0.73 consensus.
- **Advertising:** the 2026 ad revenue forecast was cut from about $3bn to $2.7bn because of delays in ad product features.
- **Costs:** about 1,000 job cuts (about 6%) will reduce the Q4 operating margin by about 1.2 points.
- **Competition** for viewing time from YouTube, short video and the combined Paramount–Warner Bros.

News

- 2026-10-26/27: the stock broke below $65 and closed about $62.6 after a Bloomberg report that viewers spend less time on the service; Huatai downgraded it to Hold.
- 2026-10-20: Q3 results beat on EPS, but soft Q4 guidance sent the stock down about 6% after hours. Free cash flow guidance was lowered to about $12bn, mainly because of a real-estate transaction.
- Peter Rice, formerly of Disney and Fox, was named Chief Content Officer.
- 2026-04-16: Q1 EPS of $1.23 included the $2.8bn WBD termination fee; Netflix authorised a $25bn buyback.

What to watch

- Q4 results around Jan 19, 2027, and the 2027 outlook for revenue, margin and advertising.
- Whether subscriber engagement holds after the price increases.
- How the buyback is used at these prices.

Caveats

- Yahoo data is unofficial; capex can include acquisitions or stakes, so check SEC capex.
- The peer group is hand-picked, so the weighted scores depend on it.
- Claude's notes are dated above and may be older than the numbers.

Reproduce: `uv run python analysis/watchlist.py NFLX`